

shares may permit payment either in cash or by tender of the senior security which is accepted at its face value. This alternative may be of considerable practical importance.

Example: Electric Power and Light Warrants are a perpetual call on common stock at \$25 per share. Payment may be made either in cash or by tendering second preferred stock at \$100 per share. In November 1939 the common stock sold at 8, and the second preferred at 17. Because of the very low price of the senior issue, the warrants had an “exercizable value,” even though the common was selling 17 points below the option price. The calculation is as follows:

$$\begin{aligned}\text{One warrant plus } \frac{1}{4} \text{ share of second preferred} &= 1 \text{ share of common} \\ \text{Value of option warrant} &= 8 - \frac{1}{4}(17) = 3\frac{3}{4}\end{aligned}$$

Basis of Trading in Warrants. Option warrants are bought and sold in the market in the same way as common stocks. Up to the end of 1939 only two issues of warrants had been separately listed on the New York Stock Exchange,² but many were actively dealt in on the New York Curb Exchange and other exchanges. The basis of trading in these instruments is somewhat eccentric, and at times conducive to serious error. Under the standard rule, “one warrant” means the right to buy one share of stock, and not the right originally attached to one share of stock.

Examples: Walgreen (Drug) Company preferred stock was sold with warrants entitling the holder to buy two shares of common for each preferred share. Under the regular rule of trading, “one Walgreen warrant” meant the right to buy one share of common, *i.e.*, each share of preferred was said to carry “two warrants.”

Similarly, Consolidated Cigar Corporation 6 $\frac{1}{2}$ % Preferred Stock was issued with a warrant attached to each share calling for the purchase of one-half share of common. These warrants were also traded in on the basis that one warrant was the right to buy one share of common; *i.e.*, each share of 6 $\frac{1}{2}$ % preferred was said to carry “half a warrant.” But the exceptions to this standard rule are numerous.

Examples: Commercial Investment Trust Corporation 6 $\frac{1}{2}$ % Preferred carried warrants to buy one-half share of common for each

² Commercial Investment Trust warrants were the only issue in which active trading took place. Warrants of Havana Electric Railway were listed on the New York Stock Exchange between 1926 and 1934 but the trading in them was negligible.